

grown sales each year by at least 10 per cent alongside generating Return on Capital Employed (pre-tax) of at least 15 per cent.

Why Return on Capital Employed (ROCE)? A company deploys capital in assets, which in turn generate cash flow and profits. The total capital deployed by the company consists of equity and debt. ROCE is a metric that measures the efficiency of capital deployment for a company, calculated as a ratio of 'earnings before interest and tax' (EBIT) in the numerator and capital employed (sum of debt liabilities and shareholder's equity) in the denominator. The higher the ROCE, the better is the company's efficiency of capital deployment.

Why use a ROCE filter of 15 per cent? We use 15 per cent as a minimum because we believe that is the bare minimum return required to beat the cost of capital. Adding the risk-free rate (8 per cent in India) to the equity risk premium⁶ of 6.5 to 7 per cent gives a cost of capital broadly in that range. The equity risk premium, in turn, is calculated as 4 per cent (the long-term US equity risk premium) plus 2.5 per cent to account for India's credit rating (BBB-as per S&P). A country's credit rating affects the risk premium as a higher rating (e.g. AAA, AA) indicates greater economic stability in the country which lowers the risk premium for investing in that country and vice versa.

Why use a revenue growth filter of 10 per cent every year? India's nominal GDP growth rate has averaged 13.8 per cent over the past ten years. Nominal GDP growth is different from real GDP growth as unlike the latter, nominal GDP growth is *not* adjusted for inflation. In simple terms, it is (GDP) evaluated at current market prices (GDP being the monetary value of all the finished goods and services produced within a country's borders in a specific time period). A credible firm operating in India should, therefore, be able to deliver sales growth of at least that much every year. However, very few listed companies, only nine out of the 1300 firms run under our screen, have managed to achieve this. Therefore, we reduce this filter rate modestly to 10 per cent; i.e. we look for companies that have delivered revenue growth of 10 per cent every year for ten consecutive years.⁷